Suprajit Engineering Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Maker of automotive and non-automotive control cables, plus halogen lamps (Phoenix Lighting), digital clusters and electronic throttles (Sensors, Electronics & Displays) and braking products. Its global cable arm (GCM) makes cables in India, Mexico, the USA, Hungary, Morocco and China, including the Stahlschmidt Cable Systems (SCS) business it bought and has been restructuring. Figures below are consolidated.

Number	Value	What it means
Market cap	Rs 6,361 cr	What the market values the whole company at (Screener).
FY26 revenue (consolidated)	Rs 3,825 cr	Sales for the year, up 17%, helped by the SCS purchase.
Q2 FY27 revenue	Rs 1,135 cr	July to September 2026 sales, up 20.6% on last year (company figure).
Q2 FY27 operating EBITDA	Rs 138 cr, 12.2% margin	Up 26.7%; margin up from 11.6%. H1 margin 12.1% vs 10.6%.
Net debt	Rs 371 cr (Sep 2026)	Down from Rs 449 cr in March 2026; modest for a company this size.
P/E	About 33x consolidated	The price is about 33 years of current earnings, which assumes the margin recovery continues.

2. Concall coverage

Quarter	Date	Transcript read?
Q3 FY24	Feb 2024	Skimmed
Q4 FY24	Jun 2024	Yes (key passages)
Q1 FY25	Sep 2024	Skimmed
Q2 FY25	Nov 2024	Skimmed
Q3 FY25	Feb 2025	Yes (key passages)
Q4 FY25	Jun 2025	Yes (key passages)
Q1 FY26	Aug 2025	Skimmed
Q2 FY26	Nov 2025	Yes (key passages)
Q3 FY26	Feb 2026	Skimmed
Q4 FY26	Jun 2026	Yes (key passages)
Q1 FY27	Aug 2026	Yes (key passages)
Q2 FY27	Nov 2026	Transcript not yet filed. Press release and presentation (7 Nov 2026) read in full ★

Eleven transcripts across about three years, plus the Q2 FY27 press release and presentation. The Q2 FY27 transcript is not out yet.

Latest update highlights: Q2 FY27 press release and presentation (7 Nov 2026)

- Consolidated revenue up 20.6% to Rs 1,135 cr; operating EBITDA up 26.7% to Rs 138 cr, margin 12.2%. H1 revenue up 22.2%, EBITDA up 39.9%.
- Global cables (GCM, including SCS): after 'the major restructuring across the division', revenue up 24.3% and EBITDA up 69% in Q2; H1 margin 11.4% vs 6.6%. Strong growth with US and Chinese OEMs; Europe stable. A greenfield cable plant is being set up in Chennai.
- India cables (ICM): revenue up 13.7%; margin recovered to 15.3% from 12.8% in Q1 and should improve again in Q3. OEM business grew over 20%, aftermarket was slow.

- Electronics (SED) revenue up 50.4% on digital clusters and electronic throttles, but margin fell to 8.4% on volatile component costs. Lamps (PLE) margin back to 14.4%; ramping up with the largest US retailer, and a major halogen rival's insolvency should add business.
- Outlook: H2 margins better than H1; the FY27 guidance (double-digit growth, 12-13% operating EBITDA) held as of the Aug 2026 call. Indian auto growth (20.2% in Q2 on lower GST) is expected to temper in H2.

Business mix & capacity

Domestic vs export: Outside India is a little over half: GCM, which serves all customers outside India and South Asia, was about Rs 1,180 cr of H1 FY27's Rs 2,205 cr revenue. The rest is India-focused (ICM, PLE, SED), though PLE also sells to US and European aftermarkets.

Capacity use: Utilisation not disclosed. Capacity is being added: a greenfield cable plant in Chennai (SAL) and a rebuilt, larger SED site.

3. Earning Trigger thesis

The trigger is the turnaround of the global cable business after buying and restructuring SCS (closing the Poland plant, moving work to low-cost and nearshore plants), with new project wins now flowing into sales. That's lifted group margins to about 12% from 10-11%. India cables and electronics add growth. Risks: commodity and wage inflation, shipping costs and tariffs.

Trigger	What management said	Evidence so far	Time horizon	Strength
SCS / global cables restructuring	SCS EBITDA positive by Q4 FY26; full consolidation under one division in FY27	GCM H1 FY27 margin 11.4% vs 6.6%; revenue up 25%	Now	Strong: in the numbers
Group margin to 12-13%	FY27 operating EBITDA 12-13%	H1 FY27 12.1%	FY27	Moderate
Electronics (digital clusters, throttles)	Strong revenue growth to continue	SED revenue up about 50%; margins squeezed	FY27-FY28	Moderate
Lamps (PLE) US retail and halogen rival exit	H2 growth and margins	Margin back to 14.4% in Q2	H2 FY27	Moderate

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Net debt fell, but no stated debt-cut plan.
New business	Yes	Complex digital cluster launched with an Indian EV motorcycle maker; gear shifter tie-up with a Japanese company (Nov 2026).
Margin up	Yes	Group EBITDA margin 12.2% vs 11.6%; GCM 'EBITDA growth was at 69% for the quarter' (Nov 2026).
New management	No	None reported.
New capacity	Yes	Greenfield cable facility in Chennai under SAL; larger SED site being rebuilt (Nov 2026).
Big orders	No	New project wins mentioned, no order book disclosed.
Turnaround	Yes	'Post the successful completion of the major restructuring across the division, GCM continues to deliver strong operational numbers' (Nov 2026).
Promoter buying	No	Not discussed.

The single concrete driver: The restructured global cable business (including SCS) is now growing with US and Chinese OEMs at much better margins.

3c. Margin bridge

Group operating EBITDA margin is 12.2% now versus 11.6% a year ago (H1 12.1% vs 10.6%). The global cable restructuring and new project wins drove it; India cables and lamps recovered from a weak Q1. Commodity, wage and shipping costs still drag (lasting).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Jun 2024	Double-digit consolidated margins 'will take a little more time'	Consolidated margin around 10-11% through FY25-FY26	Partly
Feb 2025	Close the Poland plant within two quarters; restructuring costs first	Restructuring described as completed by Nov 2026	Delivered
Jun 2025	FY26: double-digit growth, 12-14% EBITDA (excluding SCS); SCS EBITDA positive by Q4	FY26 revenue up 17%; excluding SCS at top of range by Nov 2025; group margin about 10%	Partly
May/Aug 2026	FY27: double-digit growth, 12-13% operating EBITDA	H1 FY27 revenue up 22%, margin 12.1%	On track
Aug 2026	ICM margin to recover from Q1	15.3% in Q2 vs 12.8% in Q1	Delivered

Narrative drift: The plan has stayed steady for three years: buy and fix overseas cable businesses, push electronics, keep India cables strong. Restructuring took longer and cost more than first hoped, so group margins sat around 10-11% for a long time, but the steps promised have now happened and the numbers are turning.

5. Bottom line

Durable earning trigger? → YES

The SCS and global cable restructuring is a named driver and it's showing: GCM margins jumped and group margin is at the 12% level management targeted. Electronics and lamps add to it. Input cost inflation is the main threat.

Management consistent? → MAYBE

The strategy has been consistent and restructuring steps were delivered, but margin targets lagged for a long stretch before this year. FY27 so far is on track with guidance.

6. Checkpoints for next quarter

- Group operating EBITDA margin stays at or above 12%
- GCM keeps double-digit margin in the December quarter
- SED margin recovers above the September quarter's level

This is not investment advice. Do your own due diligence.